

INSURANCE AND PENSIONS COMMISSION

(IPEC)



LIFE ASSURERS REPORT

YEAR ENDED 31 DECEMBER 2016

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Abbreviations

AVE	Average
GWP	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
Growth	% increase/decrease between 4 th Quarter 2015 & 4 th Quarter 2016
IPEC/Commission	Insurance & Pensions Commission
Q3	Third Quarter
Q4	Fourth Quarter
TFC	Treating Customers Fairly
Prescribed Assets	prescribed securities as defined by Insurance Act (Chapter 24:07)
'15	2015
'16	2016

Note **All Monetary Figures are in USD.**

Executive Summary

This report appraises all stakeholders on the operations of Zimbabwe the life assurance industry for the twelve months ended 31 December 2016. It covers 11 life assurers and 3 are life reassurers. Alfin Life is currently under liquidation. The report reviews key performance trends, compliance issues and other risk indicators for life assurance industry as well as any risk management solutions where possible.

The industry was compliant with the minimum capital requirement of US\$2 million for both life assurers and life reassurers. However, players must plan for the introduction of the new minimum capital requirements proposed in the 2016 National Budget.

Premium income grew by 4% in 2016 from US\$334m in December 2015 to the current US\$347million. However, life assurers reported outstanding claims of US\$2.8 million (2015:US\$3.3 million). The industry is required by law to settle all legitimate claims expeditiously and in terms of treating customers fairly.

Total costs grew by 23% (2015:US\$242million to US\$299m in 2016). Players attributed this growth in expenditure to once-off expenses such as acquisitions of new Information Communication Technology Systems, staff rationalisation and purchase of hearse fleets. The life assurance industry reported a favourable combined ratio of 87% for the period under review resulting in a healthy operating profit of \$48million. Relevant cost rationalisation need to be introduced to ensure industry sustainability and profitability.

As shown on table 1 below, total assets grew by 9% from US\$1,540billion as at December 2015 to US\$ 1,675billion as at 2016. This was attributable to increased investments in properties and equities and the registration of FBC Re as a composite insurer.

The prescribed assets ratio was 12% as at the reporting date against a minimum statutory requirement of 7.5%. This increase in the compliancy level is attributable to the Commission's engagement efforts with industry players and the increased appetite for prescribed assets.

In terms of corporate governance issues, the Commission was satisfied with the balanced skills set and expertise of various life insurance companies.

However, there is still room for improvement in the composition of board committees and IT systems. Governance issues are a major regulatory concern which IPEC continues to monitor because of its potential negative consequences to the policyholder and fund member's interest.

Table 1.1 Financial Performance Indicators of Life Companies and Life Reassurers for the year 31 December 2016.

Financial Aspect	Life Assurers			Life Reassurers			TOTALS		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Premium Income	326,639	340,806	4%	7,136	5,915	-17%	333,775	346,721	4%
Claims	159,704	190,898	20%	3,318	1,877	-43%	163,022	192,775	18%
Management & Admin	60,960	86,950	43%	1,413	1,442	2%	62,373	88,392	42%
Commissions	15,474	16,439	6%	1,593	1,339	-16%	17,067	17,778	4%
Total Costs	236,138	294,287	25%	6,324	4,658	-26%	242,462	298,945	23%
Technical Profit	90,501	46,519	-49%	1,380	1,257	-9%	91,881	47,776	-48%
Expense Ratio	23%	30%	7%	42%	47%	5%	23%	31%	7%
Claims Ratio	49%	56%	7%	46%	32%	-14%	49%	56%	5%
Combined Ratio	72%	86%	14%	89%	79%	-10%	72%	87%	20%
Total Assets	1,525,564	1,639,216	7%	14,186	35,665	151%	1,539,750	1,674,881	9%
Current Assets	347,322	342,750	-2%	5,588	20,296	263%	352,910	363,046	3%
Current Liabilities	101,928	1,428,101	1301%	1,618	6,234	285%	103,546	1,434,335	1285%
Total Liabilities	1,269,723	1,370,314	8%	7,028	14,283	103%	1,276,751	1,384,597	8%
Free Capital	255,841	268,902	5%	7,158	21,382	199%	262,999	290,284	10%
Liquidity/Current Ratio	341%	24%	-317%	345%	326%	-19%	341%	25%	-316%
Capital to liability Ratio	20%	20%	-1%	102%	150%	48%	21%	21%	-4%
Prescribed Assets	152,556	169,621	11%	874	1,873	114%	153,430	171,494	12%
Prescribed Asset Ratio (%)	12%	12%	-	12%	13%	1%-	12%	12%	0%

Section A

LIFE ASSURERS

2.1.1 Scope of the Report

This section covers various aspects of life assurers' operations: the number of operational institutions and market share by premium income. It will further examine business composition, key cost drivers for the life insurance industry, industry asset base, capital and solvency issues and any other key risks facing the industry.

2.1.2 Number of Operational Institutions

As at 31 December 2016, there were 11 life assurance companies operating in Zimbabwe. Altfin Life Assurance Company is under liquidation and did not transact any new business during the period under review.

2.1.3 Market Share by Net Premium Income

Life assurance players reportedly grew Net Premium Income by 4% as depicted by Table 1.2 below.

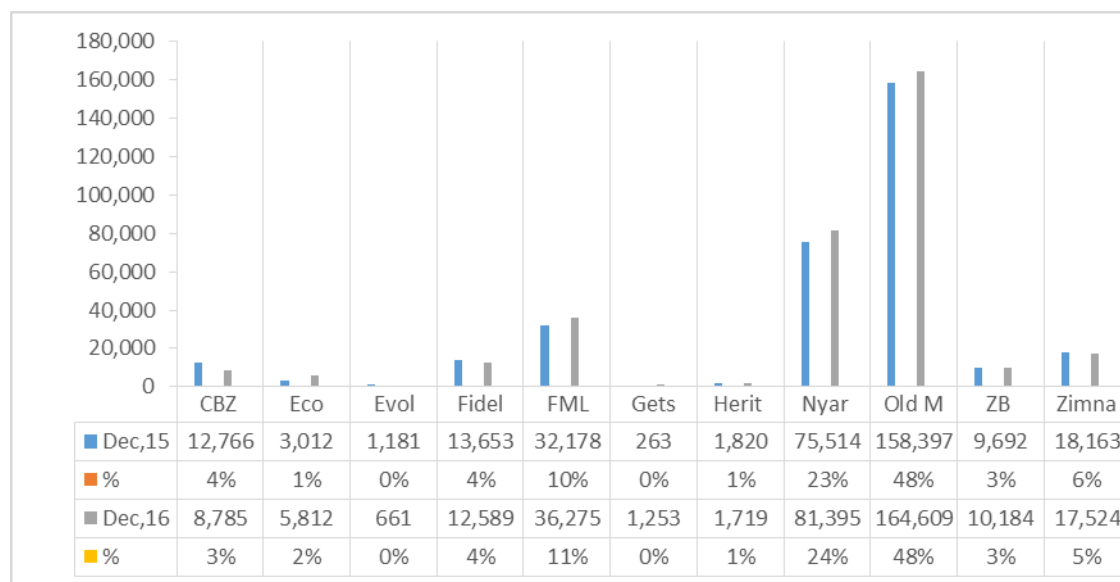
Table 1.2 Net Premium Income Comparison for the year ended 31 December 2016

Name of Company	Net Premium Income (NPI)		Growth (%)
	Dec-15	Dec-16	
CBZ Life	12,766	8,785	-31%
Econet Life	3,012	5,812	93%
Evolution Health & Life	1,181	661	-44%
Fidelity Life Assurance	13,653	12,589	-8%
First Mutual Life	32,178	36,275	13%
Getsure Life Assurance	263	1,253	376%
Heritage Life	1,820	1,719	-6%
Nyaradzo Life Assurance	75,514	81,395	8%
Old Mutual Life Assurance	158,397	164,609	4%
ZB Life Assurance	9,692	10,184	5%
Zimnat Life Assurance	18,163	17,524	-4%
Total	326,639	340,806	4%

In relation to market share, the biggest players in the industry namely put by order of size were Old Mutual, Nyaradzo, First Mutual and Zimnat. These four controlled US\$300 million or 88% of market Net Premium Income for the

current review period as illustrated on Fig 1 below. Players are encouraged to compete more on client service standards and product innovation initiatives than engaging in unsustainable price wars.

Figure 1. Market Share in terms of Net Premium Income for the year ended 31 Dec 2016



2.1.4 Business Performance by Premium Income and Business Composition

For the year ended 31 December 2016, industry Premium Income grew marginally from US\$332million in 2015 to the current US\$347million. This was achieved mainly through recurring business. New business reported negative growth rates as illustrated in Table 1.3 below. To sustain industry growth and sustainability, players are encouraged to invest in product research and development, exploiting cheaper but broader distribution channels like the internet and mobile network operators, ethical market conduct among other new business promotion strategies.

Table 1.3 Business Composition by Company for the year ended 31 December 2016

Company Name	Individual Life						Employee Benefits						Total		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec-15	Dec-16	Growth (%)	Dec-15	Dec-16	Growth (%)	Dec-15	Dec-16	Growth (%)	Dec-15	Dec-16	Growth (%)	Dec-15	Dec-16	Growth (%)
CBZ Life	157	911	480%	7,626	6,332	-17%	-	977	100%	5,583	1,284	-77%	13,366	9,504	-29%
Econet Life	2,058	209	-90%	1,106	5,688	414%	144	-	-100%	-	436	100%	3,308	6,333	91%
Evolution Health & Life	159	75	-53%	1,022	589	-42%	-	-	-	-	-	-	1,181	664	-44%
Fidelity Life Assurance	732	903	23%	5,343	3,793	-29%	478	45	-91%	7,581	8,294	9%	14,134	13,035	-8%
First Mutual Life	2,651	2,231	-16%	14,277	15,351	8%	7,413	3	-100%	8,304	19,117	130%	32,645	36,702	12%
Getsure Life Assurance	235	60	-74%	9	425	4622%	11	578	5155%	11	218	1882%	266	1,281	382%
Heritage Life	832	272	-67%	584	1,460	150%	-	-	-	438	-	-100%	1,854	1,732	-7%
Nyaradzo Life Assurance	1,410	1,101	-22%	63,134	56,247	-11%	106	305	188%	10,865	23,742	119%	75,515	81,395	8%
Old Mutual Life Assurance	7,345	5,573	-24%	11,851	13,507	14%	58,843	60,291	2%	82,756	87,554	6%	160,795	166,925	4%
ZB Life Assurance	1,631	171	-90%	2,797	4,648	66%	278	697	151%	5,417	5,160	-5%	10,123	10,676	5%
Zimnat Life Assurance	1,895	2,574	36%	2,909	3,894	34%	2,508	1,801	-28%	11,576	10,037	-13%	18,888	18,306	-3%
Total	19,105	14,080	-26%	110,658	111,934	1%	69,781	64,697	-7%	132,531	155,842	18%	332,075	346,553	4%

The industry's top 4 life insurers accounted for US\$303 million or 88% of the US\$346 million in total gross premiums.

2.1.4.1 Business Composition by Product.

The biggest income stream for life companies continued to be fund business although fund income decreased by 8% from \$155m in 2015 to the current \$142 million due to fund dissolutions and commutations. The other top products were Funeral assurance which grew by 7% from \$107million to \$114million and group life from \$30million to \$52million (See Table 1.4 below).

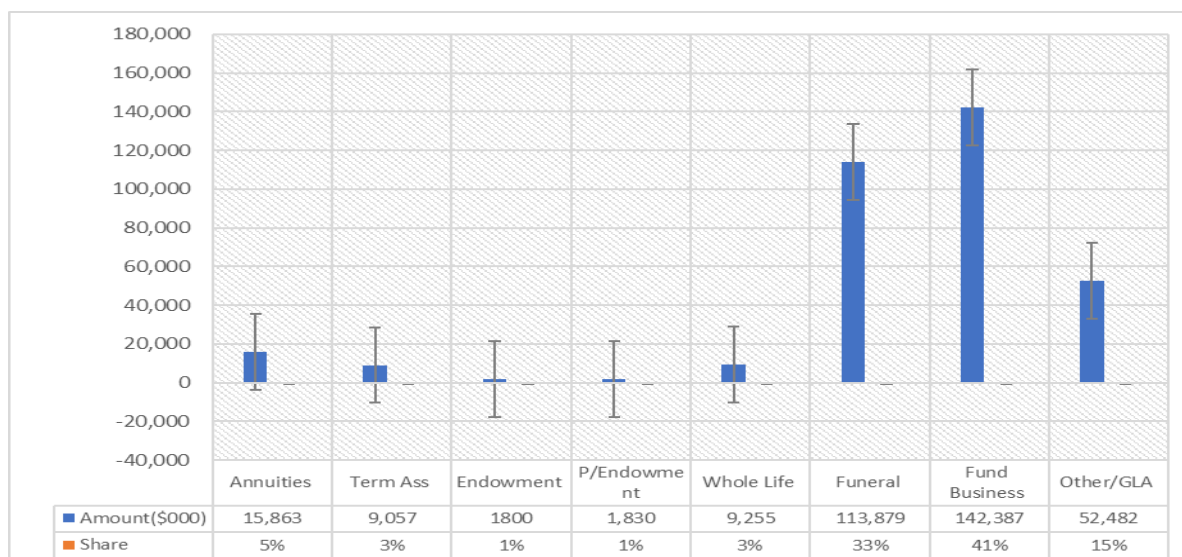
Table 1.4 Business Composition by Product for the year ended 31 December 2016

	2015	2016	Growth (%)
Annuities	23,701	15,863	-33%
Term Insurance	7,053	9,057	28%
Endowment	1,122	1,800	60%
Pure Endowment	620	1,830	195%
Whole Life	8,261	9,255	12%
Funeral	106,554	113,879	7%
Fund Business	154,561	142,387	-8%
Other/GLA	30,203	52,482	74%
Total	332,075	346,553	4%

Fund business contributed 41%, funeral policies: 33% and group life products constituted 15% of total gross premium income (See Fig. 2 below).

The Commission continue to encourage players to improve in line with socio-economic fundamentals especially through transacting in micro-insurance products.

Figure 2. Gross Premium by Product for the year ended 31 December 2016



2.1.5 Not Taken Up & Lapsed Policies

The industry reported not taken up policies (NTU) numbering 139,704 and amounting to US\$161,378 in 2016 (See Table 1.5 below). Further, some players reported a lapse ratio of 76%.

The Commission requires the industry to desist from misselling in order to manage lapse ratios and not taken up policies in the market.

Table 1.5 Not taken up policies for Life Insurers for the year ended 31 December 2016

Company	Number of Policies (NTU)	Premium TGP (\$)
CBZ Life	964	10
Econet Life	134,198	153,791
Evolution Health & Life	-	-
Fidelity Life Assurance	-	-
First Mutual Life	4,113	47
Getsure Life Assurance	168	1
Heritage Life	-	-
Nyaradzo Life Assurance	-	-
Old Mutual Life Assurance	144	2,423
ZB Life Assurance	117	5,106
Zimnat Life Assurance	-	-
Totals	139,704	161,378

2.1.5.1 Claims Aged Analysis

Analysis of claims' aged data showed that some players had aged claims in excess of 121 days whilst the majority had claims creditors aged in the 30-60 day's period. For the current period ending 31 December 2016, life companies owed policy holders outstanding claims of US\$2.9 million (2015: US\$3.3 million). Players are expected to pay legitimate claims timeously in line with the law and also best practice (treating customers fairly) in order to mitigate any legal and reputational risks.

Table 1.6 Claims Aged Analysis for the year ended 31 December 2016

Age	CBZ		Econet		Evolution		Fidelity Life		First Mutual		Getsure		Heritage		Nyaradzo		Old Mutual		ZB Life		Zimnat		Total	
	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16	Dec-15	Dec-16
>30days	7	213	458	-	-	3	814	269	595	189	-	3	-	-	-	-	-	780	58	73	-	-	1,932	1,530
31-60days	1	40	-	-	-	2	86	61	125	59	-	2	-	-	-	-	-	-	42	17	-	-	254	181
61-90days	1	-	-	-	-	2	23	14	-	5	-	1	-	-	-	-	-	-	72	9	-	-	96	31
91-120days	2	-	-	-	-	-	7	17	-	19	-	0.4	-	-	-	-	-	-	131	1	-	-	140	37
<121 days	3	-	-	-	-	-	31	11	508	753	-	0.4	-	-	-	-	89	-	299	352	-	-	930	1,116
Total	14	253	458	-	-	7	961	372	1,228	1,025	-	7	-	-	-	-	89	780	602	452	-	-	3,352	2,896

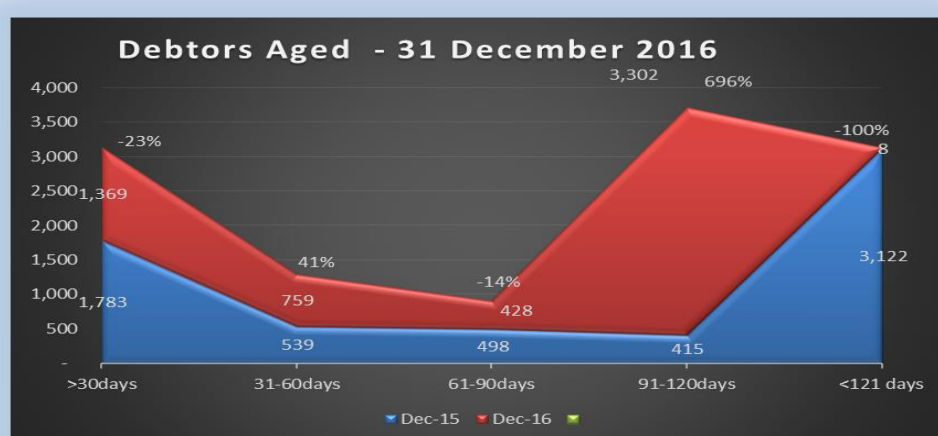
3.1.1 Debtors Aged Analysis

For the current period under review, life companies had US\$0.08 million of its debtors above 121 days against US\$3 million in the same period in 2015 as shown by Fig 3 below.

Industry-wide, uncollected premiums amounted to US\$5.8 million for the period under review (2015: US\$6.3 million) which implies a marginal reduction in uncollected premiums.

This trend can be attributed to general liquidity challenges as payments of premiums continue to be a challenge. Accordingly, the industry is encouraged to devise tailor-made premium collection models in order to promote premium affordability and premium collectability.

Figure 3. Debtors aged analysis for the year ended 31 December 2016



3.1.2 Earnings (Profitability)

As highlighted earlier, Net premium income was \$341million. Claims grew by 20% in 2016 from US\$160million last year to US\$191million for the current reporting period. Management and administration expenditure grew by 43% (US\$61million:2015 to US\$87million :2016) while Commission payments grew by 6% (US\$15m:2015 to US\$16m:2016). The growth in total costs was mainly due to increase in management expenses. Players attributed this growth to once off expenses such as the acquisition of new ICT systems, staff rationalization, new hearse fleets for funeral services provision.

Thus, the industry's combined ratio was 86% in 2016 (2015: 72%). Claims accounted for 65% of total costs whilst management expenses were 30% and commission the balance of 5%. Effective cost rationalisation measures are therefore needed to safeguard sustainability and profitability. Thus, the industry realised net operating income of \$47 million (See Table 1.7 below)

U8Table 1.7 Combined Ratio Computation for the year ended 31 December 2016

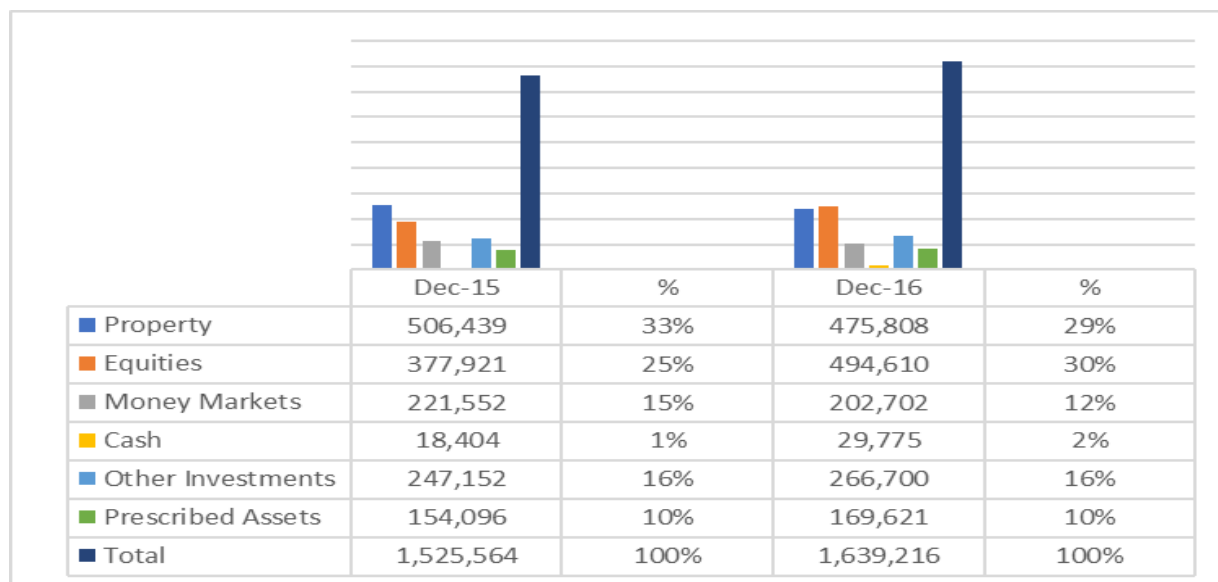
Co. Name	NPW			Claims			Commissions			Management & Admin Expenses			Total Costs			Combined Ratio	
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16
CBZ Life	12,766	8,785	-31%	2,825	3,182	13%	1,619	1,245	-23%	3,192	3,209	1%	7,636	7,636	0%	60%	87%
Econet Life	3,012	5,812	93%	620	3,051	392%	19	-	-100%	1,849	2,694	46%	2,488	5,745	131%	83%	99%
Evolution Health & Life	1,181	661	-44%	110	45	-59%	157	178	13%	526	404	-23%	793	627	-21%	67%	95%
Fidelity Life Assurance	13,653	12,589	-8%	1,561	5,537	255%	319	542	70%	7,559	11,417	51%	9,439	17,496	85%	69%	139%
First Mutual Life	32,178	36,275	13%	13,184	15,286	16%	1,691	1,601	-5%	14,092	10,208	-28%	28,967	27,095	-6%	90%	75%
Getsure Life Assurance	265	1,253	373%	-	84	100%	58	169	191%	604	1,258	108%	662	1,511	128%	250%	121%
Heritage Life	1,820	1,719	-6%	319	355	11%	189	235	24%	946	1,195	26%	1,454	1,785	23%	80%	104%
Nyaradzo Life Assurance	75,515	81,395	8%	18,737	39,613	111%	6,437	7,051	10%	11,327	32,988	191%	36,501	79,652	118%	48%	98%
Old Mutual Life Assurance	158,397	164,609	4%	109,783	112,222	2%	2,181	2,060	-6%	15,093	15,135	0%	127,057	129,417	2%	80%	79%
ZB Life Assurance	9,692	10,184	5%	4,541	4,465	-2%	1,442	1,506	4%	1,973	3,358	70%	7,956	9,329	17%	82%	92%
Zimnat Life Assurance	18,163	17,524	-4%	8,024	7,058	-12%	1,362	1,852	36%	3,799	5,084	34%	13,185	13,994	6%	73%	80%
Total	326,642	340,806	4%	159,704	190,898	20%	15,474	16,439	6%	60,960	86,950	43%	236,138	294,287	25%	72%	86%

3.1.3 Asset Quality – Industry Asset Values.

As at 31 December 2016, total assets were US\$1,639 billion compared to US\$1,526 billion in 2015. This was a 7% growth in the industry's combined asset base which was due to fixed property and equities. This growth trend could be mainly attributable to asset revaluations and increased appetite in equities. Prescribed assets grew by 10% of the total assets due to engagement measures and increased appetite by the industry players due to favourable returns. (See Table 1.8 below)

Table 1.8 – Asset Class for the Life Assurance Companies as at 31 December 2016

(values are in \$000's)	Fixed Property		Equities			Money Markets			Cash			Other Investments			Prescribed Assets			Total Assets		
	Dec-15	Dec-16	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Co. Name																				
CBZ Life	288	1,500	-	-	-	11,646	11,265	-3%	884	2,091	137%	1,891	4,322	129%	2,665	3,100	16%	17,374	19,178	10%
Econet Life	-	-	-	2,226	100%	1,118	2,154	93%	1,224	588	-52%	545	1,750	221%	1,571	613	-61%	4,458	6,718	51%
Evolution Health & Life	428	72	1,258	1,556	24%	173	-	-100%	(9)	23	62%	1,325	1,853	40%	100	295	195%	3,275	3,504	7%
Fidelity Life Assurance	23,596	17,171	27,584	27,485	-0.4%	3,735	3,671	-2%	515	447	-13%	21,445	51,861	142%	20,818	1,655	-92%	97,693	100,635	3%
First Mutual Life	13,082	633	14,572	21,843	50%	9,881	10,787	9%	3,016	3,054	1%	135,148	90,276	-33%	9,791	16,233	66%	185,490	126,593	-32%
Getsure Life Assurance	-	394	-	-	-	1,631	-	-100%	232	107	-54%	-	4,140	100%	340	156	-54%	2,203	4,641	111%
Heritage Life	765	710	1,273	1,273	-	14	162	1057%	55	117	113%	1,359	2,074	53%	-	-	-	3,466	4,336	25%
Nyaradzo Life Assurance	31,807	37,408	696	1,083	56%	14,935	6,305	-58%	5,129	7,139	39%	18,158	44,220	144%	9,046	8,825	-2%	79,771	96,155	21%
Old Mutual Life Assurance	413,169	394,832	313,973	416,669	33%	157,910	144,631	-8%	6,145	13,225	115%	30,704	192,021	525%	103,908	130,914	26%	1,025,809	1,161,378	13%
ZB Life Assurance	3,014	2,798	6,444	6,686	4%	2,806	4,065	45%	73	85	16%	30,106	32,922	9%	2,757	3,112	13%	45,200	46,556	3%
Zimnat Life Assurance	20,290	20,290	12,121	15,789	30%	17,703	19,662	11%	1,140	2,899	154%	6,471	10,882	68%	3,100	4,718	52%	60,825	69,522	14%
Total	506,439	475,808	377,921	494,610	31%	221,552	202,702	-9%	18,404	29,775	62%	247,152	436,321	77%	154,096	169,621	10%	1,525,564	1,639,216	7%

Figure 4 – Asset Class Contribution as at 31 December 2016

IPEC expects the Industry to be guided by Circular 1 of 2013 on investment guidelines (Investments Guidelines for Life Companies and Self-administered Funds). This will minimise the concentration risk as well as exposure to assets which may not respond to the liability profile of life insurance business. Table 1.9 below shows compliant levels against the requirements of Circular 1 of 2013.

3.1.4 Capitalization

As at 31 December 2016, all life companies were fully compliant with minimum capital requirement of US\$2 million as shown by Table 1.9 below.

Table 1.9 Life Insurers Capitalisation, Solvency & Liquidity as at 31 December 2016

	Current Assets			Current Liabilities			Total Assets			Total Liabilities			Capital (Net Assets)			Capital to Liability (%)			Liquidity (Current) (%)		
Co. Name	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
CBZ Life	16,483	16,869	2%	3,662	104,097	2743%	17,381	19,178	10%	4,977	4,044	-19%	12,404	15,134	22%	249%	374%	125%	450%	16%	-434%
Econet Life	2,358	5,267	123%	1,094	368	-66%	4,458	6,718	51%	1,094	484	-56%	3,363	6,234	85%	307%	1288%	981%	216%	1431%	1215%
Evolution Health & Life	1,209	229	-81%	748	105	-86%	3,275	3,504	7%	748	423	-43%	2,527	3,081	22%	338%	728%	390%	162%	218%	56%
Fidelity Life Assurance	39,420	33,216	-16%	18,626	53,737	189%	97,693	100,635	3%	97,693	81,783	-16%	12,220	18,852	54%	13%	23%	10%	212%	62%	-150%
First Mutual Life	22,348	15,678	-30%	17,899	113,392	534%	185,490	126,593	-32%	117,584	114,105	-3%	67,906	12,488	-82%	58%	11%	-47%	125%	14%	-111%
Getsure Life Assurance	2,049	1,009	-51%	112	1,572	1304%	2,203	4,641	111%	112	997	790%	2,091	3,644	74%	1867%	365%	-1502%	1829%	64%	-1765%
Heritage Life	1,221	1,767	45%	614	1,633	166%	3,466	4,336	25%	777	1,633	110%	2,688	2,703	1%	346%	166%	-180%	199%	108%	-91%
Nyaradzo Life Assurance	47,018	55,072	17%	7,467	84,061	1026%	79,771	96,155	21%	70,593	84,322	19%	9,177	11,833	29%	13%	14%	1%	630%	66%	-564%
Old Mutual Life Assurance	198,389	190,958	-4%	45,918	988,335	2052%	1,025,809	1,161,378	13%	903,370	1,000,560	11%	122,439	160,818	31%	14%	16%	2%	432%	19%	-413%
ZB Life Assurance	3,360	4,929	47%	2,428	31,732	1207%	46,200	46,556	1%	30,754	32,315	5%	15,446	14,241	-8%	50%	44%	-6%	138%	16%	-122%
Zimnat Life Assurance	13,467	17,756	32%	3,360	49,069	1360%	58,545	69,522	19%	42,021	49,648	18%	16,524	19,874	20%	39%	40%	1%	406%	36%	-370%
Total	347,322	342,750	-1%	101,928	1,428,101	1301%	1,524,291	1,639,216	8%	1,269,723	1,370,314	8%	266,785	268,902	1%	21%	20%	-1%	341%	24%	-317%

All life assurers should plan for the new minimum capital threshold of US\$5 million in the foreseeable future. Players who, by then, do not meet the new minimum capital requirement will be required to submit recapitalization plans to the Commission and the associated time lines for consideration.

3.1.5 Life Agencies

In order to operate business through various distribution channels, life companies are required to ensure that they use registered agents by the Commission. As at 31 December 2016, life companies had 1,455 agencies as depicted in table 2.0 below.

Table 2.0 Life Insurers Agency statement for the year ended 31 December 2016.

Co. Name	Corporates Agents		Individuals Agents		
	Fully Registered	Provisionally Licensed	Fully Registered	Provisionally Licensed	Total
CBZ Life	4	-	48	33	85
Econet Life	-	-	-	-	-
Evolution Health & Life	-	-	-	-	-
Fidelity Life Assurance	-	-	9	25	34
First Mutual Life	-	-	118	98	216
Getsure Life Assurance	1	-	25	17	43
Heritage Life	-	-	29	2	31
Nyaradzo Life Assurance	5	-	220	33	258
Old Mutual Life Assurance	12	-	220	54	286
ZB Life Assurance	-	-	31	208	239
Zimnat Life Assurance	-	-	145	118	263
Total	22	-	845	588	1,455

IPEC will take punitive regulatory measures for insurance companies who employ unregistered insurance agents. To protect market integrity, the Commission will ensure ethical business practices, by agents and insurers, are adhered to in conducting insurance transactions at all times.

Section B

Life Reassures

4.1.0 Number of Operational Institutions

As at 31 December 2016, there were three (3) life reassurers namely Baobab Re, FBC Re and FM Re.

4.1.1 Business Indicators

Premium income for life reassurers decreased by 16% from US\$8 million to US\$7 million for the period ended 31 December 2016. This may be a sign that life assurance companies have capacity to retain more business net to their balance sheets. Retention ratio was 80% in 2016 (2015:81%) as shown by table 2.1 below.

Total net claims decreased from US\$3.3 million to US\$1.9 million and total costs decreased by 26% from US\$6.3 million to US\$4.7 million in the comparative period respectively. This resulted in a combined ratio of 79% as at 31 December 2016 compared to 88% in 2015 (See Table 2.1 below).

As depicted by the table below, total assets for the life reassurers grew by 151% to \$35.7 million as at December 2016 (2015:US\$14.1m). Similarly, liabilities for life reassurers grew by 103% from US\$7 million as at 31 December 2015 to the current US\$14 million. The growth in total assets and liabilities was mainly due to the registration of FBC Reinsurance as a composite re-assurer in the year under review.

In terms of satisfying the prescribed assets status requirement, the industry was compliant although a single reinsurer was marginally below the 7.5% minimum threshold. Players must be fully compliant on a continuous basis to avoid statutory penalties in terms of our statutes.

Table 2.1 Business indicators for life Reassurers for the year ended 31 December 2016(000)

Indicator	Baobab Re	FBC Re	FM Re	Total - 2016	Total- 2015	% Growth
Gross Premiums Income	4,170	693	2,515	7,378	8,765	-16%
Net Premiums Income	3,567	450	1,898	5,915	7,136	-17%
Retention Ratio	85.54%	64.94%	75.47%	80%	81%	-1%
Total Gross Claims	2,092	51	894	3,037	3,318	-8%
Total Net Claims	932	51	894	1,877	3,318	-43%
Management & Admin. Expenses	780	81	581	1,442	1,413	2%
Commission	859	128	352	1,339	1,593	-16%
Total Costs	2,571	260	1,827	4,658	6,324	-26%
Technical Profit	996	190	71	1,257	1,380	-9%
Expense Ratio	46%	46%	49%	47%	42%	5%
Claims Ratio	26%	11%	47%	32%	46%	-14%
Combined Ratio	72%	57%	96%	79%	88%	-11%
Total Assets	11,938	21,412	2,315	35,665	14,186	151%
Current Assets	4,065	14,878	1,353	20,296	5,588	263%
Current Liabilities	530	5,062	642	6,234	1,618	285%
Total Liabilities	4,966	8,533	784	14,283	7,028	103%
Free Capital (\$000)	6,972	12,879	1,531	21,382	7,158	199%
Liquidity/Current Ratio	767%	294%	211%	326%	345%	-19%
Capital to liability Ratio	140%	151%	194%	150%	102%	47%
Prescribed Assets	312	1,184	377	1,873	874	114%
Prescribed Asset Ratio (%)	6%	14%	48%	13%	12%	-1%

4.1.2 Capitalization & Solvency

All life reassurers are supposed to be fully compliant with the current minimum capital of US\$2 million. It must be noted that FMRe was given the greenlight to be a composite reinsurer with its non-life sister company FMRe Property and Casualty. All players are encouraged to make adequate plans to ensure they are compliant with

new minimum capital requirement of US\$5 million as proposed by the Minister of Finance and Economic Development. A Statutory Instrument to operationalize these proposals is now in its finalization stages.

4.1.3 Market Share by NPI for life Reassurers.

In 2016, Baobab Re was the market leader in terms of net written premium with US\$3.57 million (or 60% market share) though it had shed 14% of its previous premium for the period under review. FM Re realised US\$1.9 million (or 32% of market share) although it shed 36% of its previous premium income while FBC Re reportedly wrote the balance of net premium income (See Table 2.2 below)

Table 2.2 Life Assurers Market Share by Net Premium Income for the year ended 31 December 2016.

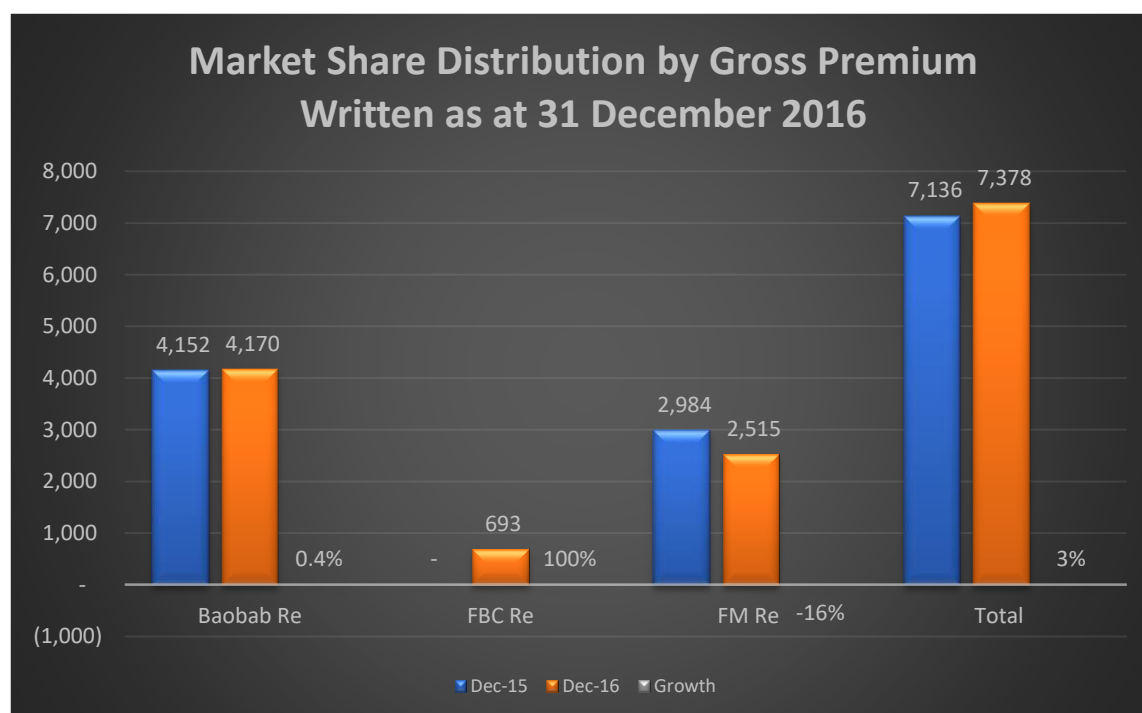
	Dec-15	Dec-16	Growth
Baobab Re	4,152	3,567	-14%
FBC Re	-	450	100%
FM Re	2,984	1,898	-36%
Total	7,136	5,915	-17%

4.1.4 Market Share by GPI of life Assurers.

Just like in net premium terms, Gross Premium Income(GPI) was more or less the same in 2016 as Baobab Re controlled 57% of US\$7.3 million GPI in 2016, followed by FM Re that controlled 34% and FBC Re controlled the remaining 9%. For the past two years, GPI has grown negatively by 14% in 2015 and 16% in 2016.

As illustrated by Fig. 5 below, Baobab Re's GPI grew by 4% while FM Re's GPI shaded by 16% in 2016. FBC Re was not yet operational by the time of reporting writing in December 2015.

Figure 5. Market Share by GPI of life Reassurers – 31 December 2016.

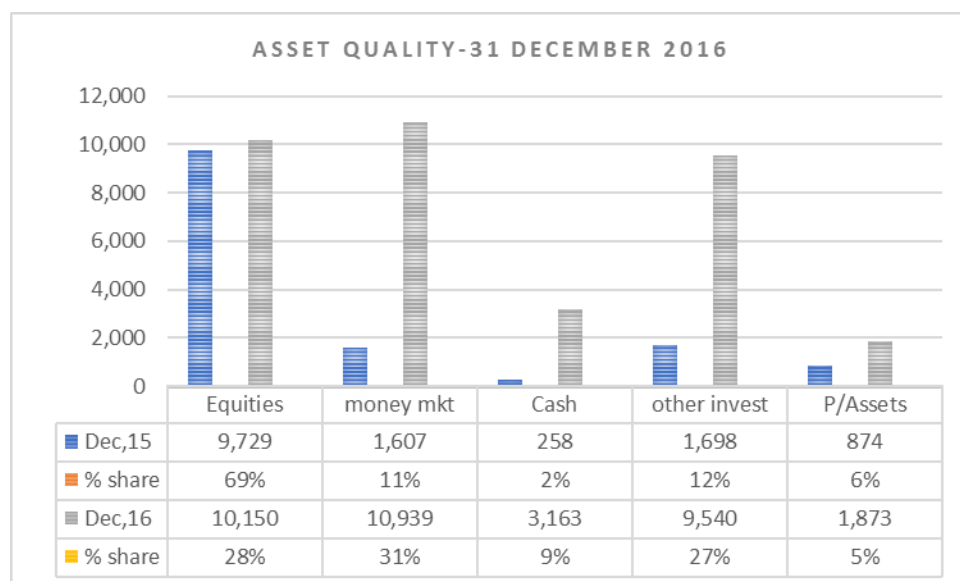


4.1.5 Asset Quality

As shown on table 2.3 below, total assets for the life reassurers grew by 151% as at December 2016 to \$35.7million(2015:US\$14.1m). This was mainly due to FBC Re's registration as a composite reinsurer during the reporting period. Asset classes were in near cash assets for life reassurers.

Table 2.3 Life Reassurers- Asset Quality as at 31 December 2016

Item	Baobab Re			FBC Re			FM Re			Total		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Fixed Property	-	-	-	-	-	-	-	-	-	-	-	0%
Equities	8,970	8,523	-5%	-	707	100%	535	960	79%	9,505	10,190	7%
Money Markets	637	1,767	177%	-	8,268	100%	970	904	-7%	1,607	10,939	581%
Cash	186	344	85%	-	2,696	100%	72	123	71%	258	3,163	1126%
Other Investments	1,663	982	-41%	-	8,558	100%	35	-	-100%	1,698	9,540	462%
Prescribed Assets	711	312	-56%	-	1,184	100%	163	377	131%	874	1,873	114%
Total Assets	12,167	11,938	-2%	-	21,412	100%	2019	2,315	15%	14,186	35,665	151%

Figure 6 – Asset Quality for the year ended 31 December 2016.

As at 31 December 2016, reinsurers invested 28% or \$10,15million in equities, \$10,94million in money market or 31%, cash-\$3.16million or 9%, prescribed assets-\$1,87million in prescribed assets and 27% or \$9.54million in other assets (See Table 2.3, above and Figure 6, above)

Section C -Conclusion

5.1.1 Conclusion

The industry is encouraged to plan for the near-future introduction of new minimum capital requirements and guidelines from their actuaries and as per Circular 1 of 2013 to manage risks in line with asset-liability matching. The industry showed signs of growth in income and asset base despite the challenging economic environment. Players should ensure that they come up with various strategies to rationalize their administrative expenditure. Players should take up available and open for subscription bonds not only to comply with prescribed assets ratio but also to diversify their investment risk.

Section D

Circulars & Statutory Instruments

6.1.1 Issued circulars & Statutory Instruments

The Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:

Table 2.4 Issued Acts, Circulars and Statutory Instruments for the year ended 31 December 2016

Statutory Instrument/ Circular	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Circular 1 of 2016	Investment Guidelines For Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements To Members of Pension Funds	4 March 2016
Circular 3 of 2016	Licensing manual for entities in the insurance sector	22 June 2016
Circular 4 of 2016	Proposed Micro-Insurance Regulatory Framework	22 June 2016
Circular 5 of 2016	Certificate of proficiency in Trusteeship	27 June 2016
Circular 6 of 2016	Guidelines on Insurance Products for Life, Funeral Assurance and Non-Life Insurance Companies	13 July 2016
Circular 7 of 2016	Training on AML/CFT	22 August 2016
Circular 8 of 2016	Seminar on Broker Trust Account	6 September 2016
Circular 9 of 2016	Insurance Products offered to the	20 September 2016

	Agricultural sector	
Circular 10 of 2016	Workshop on the presentation of solvency framework	19 October 2016
Circular 11 of 2016	Directive on Governance and Risk Management for insurance companies	19 October 2016
Circular 12 of 2016	Revision of circulars on commutations	11 November 2016
Circular 13 of 2016	Revision of Part or full commutation requirements	6 December 2016
Circular 1 of 2017	Review of Preserved Employer's Portion	24 January 2017
Circular 2 of 2017	Pension Commutation for Retrenched Employees	27 January 2017

6.1.2 List of Approved Prescribed Assets

Table 2.5 List of Approved Prescribed Assets as at 31 December 2016

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Update on take ratios
ZB Financial Holdings 2015/2016 Agro bills	The target amount was \$5million at a coupon rate of 5%. Purpose: intended to support the 2015/2016 agricultural season	\$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%. Repayments will be made on the 4 th of November 2016 and 19 th of December 2016
FBC & Agribank 2015/2016 Agrobills	The target amount was \$20million at a coupon rate of 10%, Purpose: intended to support the 2015/2016 agricultural season	A total of US\$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June.
IDBZ Series 2 2014B	Bond has a tenor of 5 years	The bank has raised

(US\$50million)	at 9% coupon rate. Purpose: Refurbishment of Kariba South Power Station and Repowering of Harare Power Station.	US\$30.75million from the market (i.e. a 62% uptake)
Agricultural Marketing Authority (AMA Bills)	\$50 million at a coupon rate of 8.5% for a tenor of 360 days Purpose: to capacitate GMB to procure up to 100,000 metric tonnes of maize and 22000 metric tonnes of wheat	Application approved on the 9 th of September 2016 and is now open for subscription. Available
Homelink	Initial bond amount of \$15m. Purpose: Development of stands and construction of housing units	No update at the moment on uptake.
NMB	A \$10 million bond issue, at an indicative coupon rate of 8% for a tenor of 5 years Purpose: Mortgage Loan facility for low income earners	No update at the moment on uptake.
Honde Hydro Power Consolidated	Bond amount of \$5million with a coupon rate of 8.5% to 9%, with a tenor of 5years Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Approved on the 13 th of May 2016. No update at the moment on uptake.
IDBZ Series 1 2015B	\$5million bond at a coupon rate of 9.5% with a tenor of	Application was approved on the 13 th of May 2016.

	5 years Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	No update at the moment on uptake.
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	Bond amount of \$15million at 7% per annum Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is now open for subscription.
African Export-Import Bank (Afreximbank)	US\$100million bond issue with a tenor of 2 years Purpose: to enhance interbank trading within the Zimbabwean sector which will result in improved liquidity	Approved on the 8th January 2015
Agribank 2016/2017 Agro bills	US\$5million, with a coupon rate that is negotiable on private placement Purpose: is to finance the 2016/2017 agricultural season	Application approved on the 23 rd of December 2016 and is open for subscription. Available
IDBZ Housing Bond (Empumalanga West Housing Project)	Bond issue of \$5.8million at a coupon rate of 8.5% p.a with a tenor of 7 years Purpose: financing of the Empumalanga West Housing Project.	Application approved on the 28 th of December 2016 and is open for subscription. Available